Strategic Cost Reduction, Vendor Management and Resource Optimization

Reviewing recurring expenses, renegotiating agreements and improving how services were delivered to reduce operating costs

Family Solutions, Operations Manager

Executive overview

At Family Solutions, I reviewed vendor agreements and recurring operating expenses to determine whether the organization was paying for services it still needed, using the licenses it purchased, and getting appropriate value from its contracts. Some agreements had remained unchanged despite program closures and changes in staffing. Other expenses continued simply because the original arrangements had never been revisited.

I evaluated vendors across the organization, reviewed subscription utilization and contract terms, worked with my department managers on alternatives, and identified opportunities to renegotiate pricing or change how services were delivered. I also examined maintenance and IT spending to identify avoidable operating costs. Using a performance tracking system I established in July 2024, I documented more than $500,000 in realized savings. Three of the vendor reductions highlighted in my resume alone represented more than $100,000 in recurring annual savings.

Reviewing the full cost of existing agreements

I began with recurring payments and worked through vendor contracts, licenses, subscription counts and actual service use. For each expense, I wanted to know what the organization was paying for, who used it, whether the service was still necessary, and whether the agreement matched current operating needs. I also looked at the annual cost of monthly charges. Expenses that appeared routine on a monthly statement could be significant when viewed across a full year.

The review led to several types of action. Some subscriptions could be canceled entirely. Others needed fewer seats or lines. Certain contracted services could be brought in-house, while other agreements warranted renegotiation. The objective was to redirect spending away from unused capacity and unnecessary services while retaining the support programs needed to operate.

Selected vendor and subscription reductions

Relias training licenses

When the Relias agreement came up for renewal, the organization was paying for 120 seats while averaging approximately 50 employees. The original license count had not been adjusted after program closures and staffing changes. I reduced the renewal to 75 seats, leaving room for workforce fluctuations and foster parent training while avoiding the expense of unused capacity. The change saved approximately $45,000 annually.

Hunter phone system

I reviewed the phone system and identified lines that were still being billed but were no longer in use. Reducing the unnecessary lines cut an approximately $4,000 monthly expense in half, lowering the annual run rate by approximately $24,000.

Fleetio vehicle management

I found that the organization continued paying approximately $300 per month for Fleetio even though vehicle management was being handled through another process and staff were not using the subscription. I eliminated the unused service, removing approximately $3,600 in annual expense.

Securitas service agreement and copier contracts

The Securitas agreement cost approximately $4,000 each month for access to services that the organization was not using. I eliminated that agreement, removing an approximately $48,000 annual expense. I also reviewed and renegotiated copier contracts as part of the broader effort to align vendor costs with actual needs.

Redesigning service delivery

I considered whether work purchased from outside vendors could be performed more economically by our own staff. We eliminated contracted pest control and transitioned the work to maintenance. We also replaced a third-party cleaning arrangement with a part-time in-house cleaner. These decisions were part of a larger review of service delivery costs, staffing capacity, and the practical needs of the facilities.

Financial analysis also identified high fuel spending. I reviewed the travel patterns of maintenance and IT, including unnecessary driving between properties and service areas. For maintenance, I reorganized assignments so staff were scheduled in the Medford and Ashland area or Grants Pass on designated days, reducing repeated long-distance travel and freeing more working time for repairs and other responsibilities.

Using team strengths to improve vendor negotiations

The Safety and Facilities Manager was particularly effective at building relationships with vendors and communicating the organization's community impact. I encouraged him to use that skill in negotiating project costs and identifying opportunities for discounts, donated materials and favorable service arrangements. He led many of these discussions, while I supported the overall approach, reviewed expenses and incorporated the results into our cost reduction efforts.

One emergency plumbing issue carried an initial repair quote of approximately $60,000 and threatened to disrupt a vital program. Under my direction, the Safety and Facilities Manager negotiated an arrangement that reduced the cost to approximately $16,000. The $44,000 difference came from a creative proposal that included recognizing the vendor's support through social media. He also secured favorable arrangements for tree removal, materials and other needs, including discounts and at-cost pricing. These were collaborative achievements built on his relationship skills and our shared focus on responsible spending.

Tracking results and maintaining accountability

I tracked savings as part of a performance management workbook I built for myself and the departments I supervised. It included assigned goals, departmental objectives and dashboards showing progress. This created a consistent way to record the financial effect of completed initiatives rather than relying on a collection of disconnected examples.

The tracked results exceeded $500,000 in realized savings. Separately, the three selected vendor relationships I featured on my resume accounted for more than $100,000 in annual recurring expense reductions. Additional changes to subscriptions, service delivery, contracts and operating practices contributed further savings. By distinguishing actual savings from ongoing annual reductions, I could communicate both the financial impact already achieved and the lasting changes to the cost structure.

Results and business impact

The initiative reduced unnecessary spending across vendor contracts, subscriptions, outsourced services and day-to-day operations. It also established a more disciplined practice of reviewing utilization, questioning longstanding expenses and examining costs in annual as well as monthly terms. Just as important, the work created opportunities for department managers to contribute their expertise, particularly in vendor relations and practical service alternatives.

This project reflects how I approach financial stewardship: understand what the organization is paying for, evaluate whether the expense serves a real operational need, involve the people closest to the work, and measure the result. The outcome was more than $500,000 in documented savings and a stronger foundation for managing ongoing expenses.